AAPL - Apple | Full investment artifact

Full investment research | Model assumptions and source evidence

Evidence review: 6 October 2026 | **Financial calibration:** 18 September 2026 | **Framework:** 8.0 evidence integration | **Format:** standalone current-state analysis **Status:** Full operating model retained; June results, September launches and current patent-licence evidence incorporated | **Classification:** PLATFORM - consumer ecosystem and services **Artifact Base:** 32/60 = **53% - Fail** | **Protected portfolio Base:** 47% (user override retained; separate from artifact assessment) **Snapshot:** supplied-workbook price USD 313.330; model share proxy 14,680.000000M; implied snapshot market capitalization 4,599.684 USD billions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active price target:** Q4 2027 **USD 254.712061**, pricing Q4 2027-Q3 2028 at the retained 20× operating-profit multiple and 14,280M shares. The prior Q3 2027 selection was USD 246.559889 at 14,360M shares; both figures already exist in the unchanged rolling table. This calendar selection is not a forecast increase.

The broader hardware and services opportunity supports a stronger thesis than a static handset replacement model. The base case still requires paid adoption and cost control; gross hardware content growth alone does not establish operating-profit expansion.

1. Supercycle, supply chain and durable advantage

Apple combines proprietary silicon, operating systems, distribution and an installed base that supports repeat hardware purchases and services. On-device AI can increase the value of this platform, but Apple pays for memory, compute and model integration. Its durable advantage is ecosystem retention and monetization; its financial outcome depends on the customer value captured after those costs.

Consumer demand → Apple platform design → foundry/memory/display/assembly capacity → shipped device → retained service user. AI infrastructure demand benefits several suppliers while raising Apple input costs. Apple can mitigate through design, mix and pricing, but full cost pass-through is not assured.

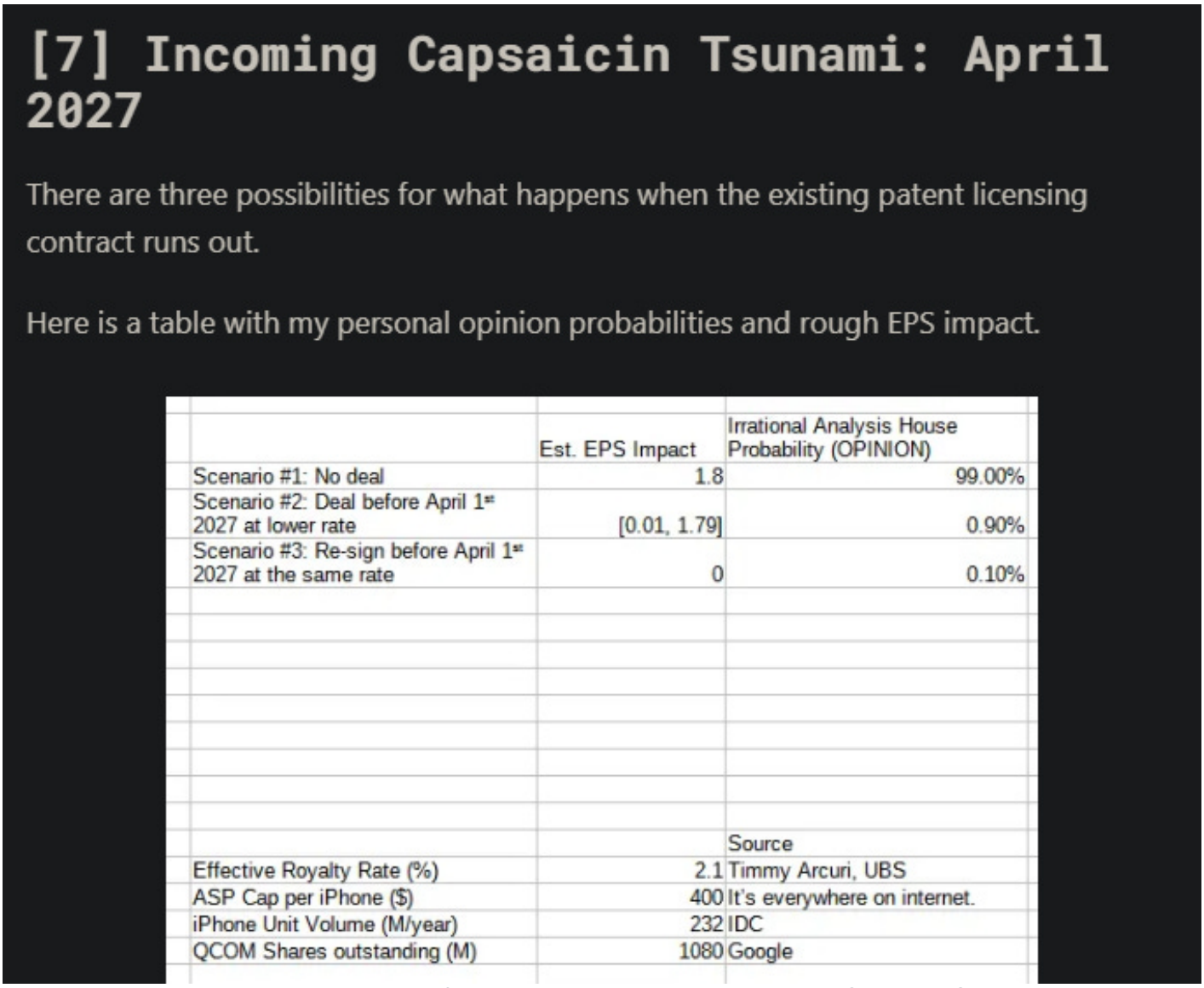
Business / curve	Stage	Evidence and next inflection
Core devices	Mature platform	Replacement cycles and emerging-market adoption.
Foldable iPhone	Launch	Revenue begins after announced October availability.
AI services	Early monetization	Installed distribution is large; incremental paid economics remain unproven.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

Modem integration and patent royalties: separate economics

The July 29 Irrational Analysis memo embeds a September 2025 argument that Apple would refuse an April 2027 patent-licence renewal. That outcome has been superseded: Qualcomm announced a renewed global licence on September 24, effective April 1, 2027. The release does not disclose its duration or royalty rate. Purchasing fewer Qualcomm modem chips therefore cannot be treated as eliminating Apple’s cellular patent royalties. [E7/E8]

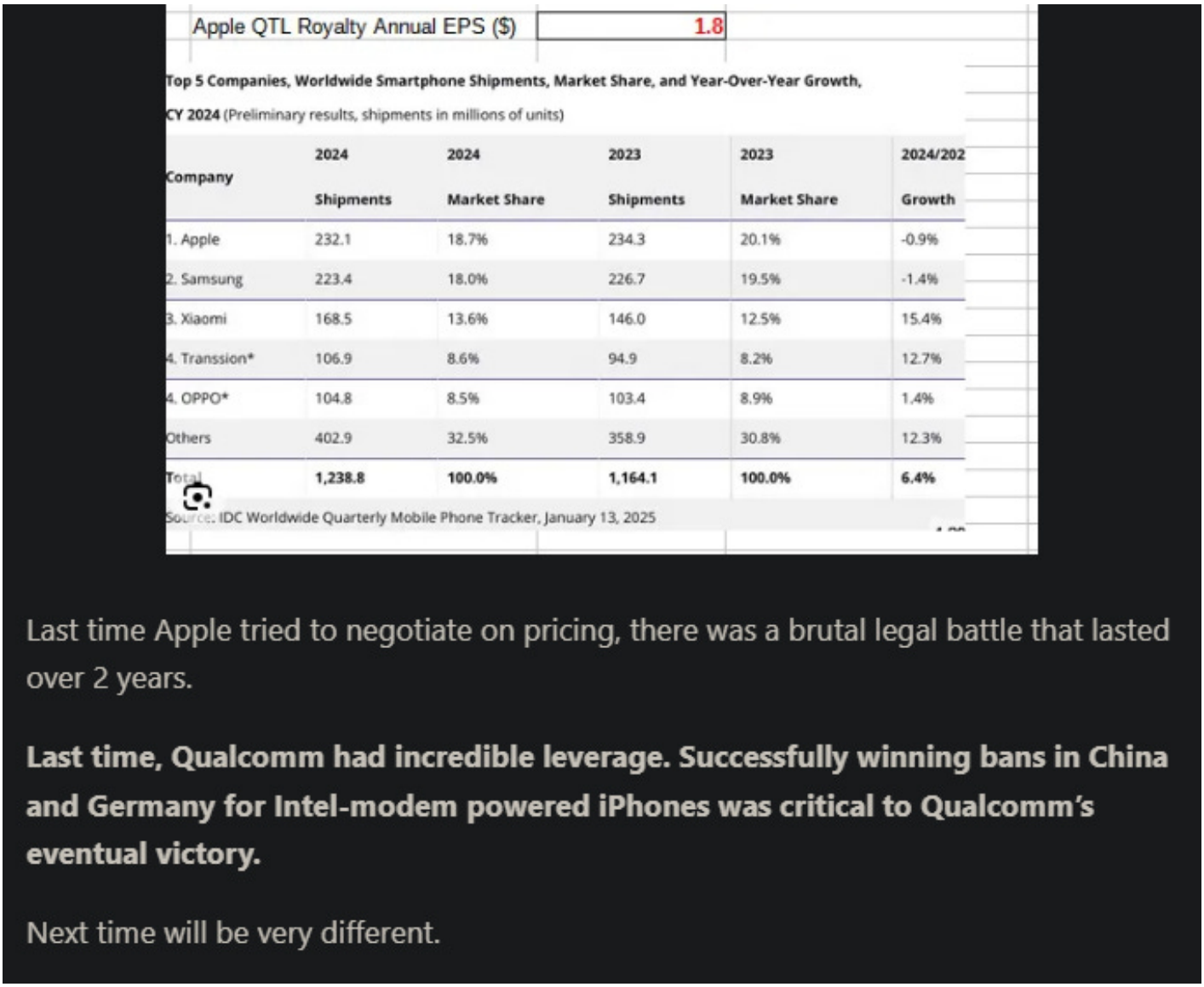
The old source’s arithmetic-232M phones × a $400 royalty-value cap × 2.1%-produces a $1.9488B gross royalty pool. Dividing that pool by Qualcomm’s assumed shares is not verified after-tax EPS, and it is not an Apple earnings loss or a cost saving. This model contains no removal of that royalty pool. The old no-renewal event now has a 0% analytical weight because of the announced renewal; the agreement’s future economics still have uncertainty. The author’s original 99% probability is not adopted.



	Est. EPS Impact	Irrational Analysis House Probability (OPINION)
Scenario #1: No deal	1.8	99.00%
Scenario #2: Deal before April 1st 2027 at lower rate	[0.01, 1.79]	0.90%
Scenario #3: Re-sign before April 1st 2027 at the same rate	0	0.10%

		Source
Effective Royalty Rate (%)	2.1	Timmy Arcuri, UBS
ASP Cap per iPhone ($)	400	It's everywhere on internet.
iPhone Unit Volume (M/year)	232	IDC
QCOM Shares outstanding (M)	1080	Google

Figure AAPL-IA14-46. Historical author non-renewal forecast, embedded in the July 29, 2026 article. Qualcomm's September 24 renewal supersedes the forecast. The gross royalty/share calculation is not Apple EPS or an adopted financial assumption. Original exhibit, panel 1 of 2; read from top to bottom.



Apple QTL Royalty Annual EPS ($)	1.8

Top 5 Companies, Worldwide Smartphone Shipments, Market Share, and Year-Over-Year Growth, CY 2024 (Preliminary results, shipments in millions of units)

Company	2024 Shipments	2024 Market Share	2023 Shipments	2023 Market Share	2024/202 Growth
1. Apple	232.1	18.7%	234.3	20.1%	-0.9%
2. Samsung	223.4	18.0%	226.7	19.5%	-1.4%
3. Xiaomi	168.5	13.6%	146.0	12.5%	15.4%
4. Transsion*	106.9	8.6%	94.9	8.2%	12.7%
4. OPPO*	104.8	8.5%	103.4	8.9%	1.4%
Others	402.9	32.5%	358.9	30.8%	12.3%
Total	**1,238.8**	**100.0%**	**1,164.1**	**100.0%**	**6.4%**

Source: IDC Worldwide Quarterly Mobile Phone Tracker, January 13, 2025

Last time Apple tried to negotiate on pricing, there was a brutal legal battle that lasted over 2 years.

Last time, Qualcomm had incredible leverage. Successfully winning bans in China and Germany for Intel-modem powered iPhones was critical to Qualcomm's eventual victory.

Next time will be very different.

Figure AAPL-IA14-46. Historical author non-renewal forecast, embedded in the July 29, 2026 article. Qualcomm's September 24 renewal supersedes the forecast. The gross royalty/share calculation is not Apple EPS or an adopted financial assumption. Original exhibit, panel 2 of 2; read from top to bottom.

Figure AAPL-IA14-46. Historical author non-renewal forecast, embedded in the July 29, 2026 article. Qualcomm's September 24 renewal supersedes the forecast. The gross royalty/share calculation is not Apple EPS or an adopted financial assumption.

The technical premise also needs a current product boundary. Apple's September 9 release identifies C2 in iPhone 18 Pro, including US mmWave support and 15% lower energy use than C1X. It does not quantify the modem's unit cost or extend that exact configuration to every iPhone model and geography. Carrier aggregation is a combination of radio-frequency carriers, not a requirement for one distinct base station per carrier; the old network-congestion argument supplies no traffic or capacity study. Power, board area, RF components and royalty obligations are separate cost mechanisms. [E5/E8]

Operating treatment and overlap. The existing 2027 Products forecast is $391B, with the saved gross-margin path charging component and integration costs; Services is $145B. Product integration, premium mix and cost control already support those estimates. Neither the article nor the renewal identifies a distinct change in shipped Apple units, realized price, modem/RF cost or royalty rate relative to that reference. Incremental revenue, COGS, opex and operating profit are therefore zero for this review. This is a counterevidence and overlap decision, not a requirement to wait for an official earnings forecast. The 20× OP method, analytical Base 53 and protected portfolio Base 47 remain unchanged.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27	Premium foldable and broader Mac adoption	Analyst CY2027 device pool1.35B smartphones×20% Apple capture×950USD realized ASP≈256.5B iPhone. Other hardware134.5B gives391B modeled Products; this market pool is a scenario, not a sourced forecast.
2028-29	Greater service attachment and use	2029 Services183B: analyst2.8B active-device equivalents×65.36USD yearly monetization. Multiple devices and subscriptions per person mean this is an economic calibration, not a user count.
2030+	Ecosystem wallet grows	2030 Products471B and Services204B. Services bridge3.0B active-device equivalents×68USD annual monetization; Product endpoint requires broader units and premium mix, not only retail price inflation.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

June2026 reported revenue109.417B comprises Products78.678B and Services30.739B. Product GP31.525B plus Services GP23.245B gives54.770B. R&D11.729B plus SG&A7.346B gives19.075B opex and35.695B operating profit [E1]. Diluted weighted-average shares were14,714.676M. This fiscal Q3 is calendar Q2; model Q3 2026 is the September quarter.

Both April30 and July30 full prepared remarks and Q&A were reviewed [E2,E3]. April emphasized unexpectedly strong Mac demand and accelerating investment. July narrowed the issue to advanced-node supply and increasing memory costs; its September outlook incorporates constraints. AI monetization and the related compute burden remain uncertain. September announcements turn foldable availability into a dated catalyst [E4,E5], but supply and demand quantities remain forecasts.

Two full management earnings discussions were available. No post-launch sell-through, Duo shipments or separate AI economics are reported as of this review. Forecasts do not pretend these quantities are known.

4. Local evidence and calibration packet

Historical grouping is exactly calibrated with no invented segment margin. Fiscal periods ending March, June, September and December map to calendar Q1,Q2,Q3,Q4. Direct consumer sales are not modeled as a hyperscaler-capex share; the AH12 applicable bridge is installed devices, replacement and monetization. Historical checks reproduce reported group sales and GP with0% error; future conversion remains LOW-confidence.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	13/20	Durable ecosystem; mature broad consumer demand.
Inflection / cycle	7/10	AI and foldable launches support mix; constraints slow fulfillment.
Forward TAM	8/10	Foldable premium tier, Mac adoption and AI service attachment expand wallet.
Catalysts	4/5	Dated September and October launches.
Macro / policy	3/10	Consumer, foreign-exchange and regulatory exposure.
Alpha / evidence	2/5	Evidence improves but monetization economics remain opaque.
Risk deductions	-5	Five distinct classes.

Sum: 32/60 × 100 = 53.333333%, conventionally rounded to 53%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Use the two disclosed economic product groupings, retaining their different margins. June calibration exactly reproduces109.417B revenue and54.770B GP using31.525/78.678 and23.245/30.739 margins. Q3 total112.75B uses the midpoint of9-11% growth applied to the rounded102.5B prior September revenue [E6]; rounding versus the precise prior-year base is immaterial and this is not an exact reported guidance amount. Services31.8B is an allocation assumption; Products is the residual. Q3 product margin is solved to achieve47.5% total GM. Later margins remove the temporary refund uplift and expose memory and AI costs.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Products	June78.678B; disclosed GP31.525B	2027 total391B. Embedded Duo allowance:10M devices×1,850USD realized ASP-70% cannibalized×1,100USD displaced revenue=10.8B net contribution; residual380.2B other hardware. Units, ASP and cannibalization are analyst estimates.	Forward GM38-41% after early refund normalization. No separate Duo uplift outside Products.
Services	June30.739B; GP23.245B	2027 total145B;2030 total204B. Paid cloud/AI upgrades are embedded, not an additional revenue line.	GM75% initially to73.5% allows higher compute cost despite scale.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Products including iPhone Duo

Sources: E1/E2/E3/E4/E5; analyst product capture. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	78.678000	1.028877	80.950	36.697%	29.706
Q4 2026	78.678000	1.537914	121.000	38.500%	46.585
Q1 2027	78.678000	1.105773	87.000	37.500%	32.625
Q2 2027	78.678000	1.093063	86.000	37.500%	32.250
Q3 2027	78.678000	1.131193	89.000	38.000%	33.820
Q4 2027	78.678000	1.639594	129.000	39.000%	50.310
Q1 2028	78.678000	1.182033	93.000	38.500%	35.805
Q2 2028	78.678000	1.169323	92.000	38.500%	35.420
Q3 2028	78.678000	1.220163	96.000	39.000%	37.440
Q4 2028	78.678000	1.741275	137.000	39.500%	54.115

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2029	78.678000	1.258293	99.000	39.500%	39.105
Q2 2029	78.678000	1.245583	98.000	39.500%	38.710
Q3 2029	78.678000	1.296423	102.000	40.000%	40.800
Q4 2029	78.678000	1.842955	145.000	40.500%	58.725
Q1 2030	78.678000	1.334553	105.000	40.000%	42.000
Q2 2030	78.678000	1.321843	104.000	40.000%	41.600
Q3 2030	78.678000	1.385394	109.000	40.500%	44.145
Q4 2030	78.678000	1.944635	153.000	41.000%	62.730

V2. Services including cloud and AI upgrades

Sources: E1/E2/E3; analyst service attachment and monetization. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	30.739000	1.034516	31.800	75.000%	23.850
Q4 2026	30.739000	1.106087	34.000	74.912%	25.470
Q1 2027	30.739000	1.138619	35.000	74.824%	26.188
Q2 2027	30.739000	1.154885	35.500	74.735%	26.531
Q3 2027	30.739000	1.187417	36.500	74.647%	27.246
Q4 2027	30.739000	1.236215	38.000	74.559%	28.332
Q1 2028	30.739000	1.268747	39.000	74.471%	29.044
Q2 2028	30.739000	1.301279	40.000	74.382%	29.753
Q3 2028	30.739000	1.333810	41.000	74.294%	30.461
Q4 2028	30.739000	1.398874	43.000	74.206%	31.909
Q1 2029	30.739000	1.431406	44.000	74.118%	32.612

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2029	30.739000	1.463938	45.000	74.029%	33.313
Q3 2029	30.739000	1.496470	46.000	73.941%	34.013
Q4 2029	30.739000	1.561534	48.000	73.853%	35.449
Q1 2030	30.739000	1.594066	49.000	73.765%	36.145
Q2 2030	30.739000	1.626598	50.000	73.676%	36.838
Q3 2030	30.739000	1.659130	51.000	73.588%	37.530
Q4 2030	30.739000	1.756726	54.000	73.500%	39.690

7. Operating-cost bridge and quarterly operating model

Explicit quarterly opex19.25B initially rises to30B by Q4 2030. Opex ratios are derived from these dollar costs and revenue. Q3 matches the guidance midpoint; subsequent R&D, compensation and selling costs grow with AI and product investment. One percentage point of Q3 total GM is the guided temporary refund effect; no repeating refund income is added later.

Profit basis: GAAP-style operating profit including recurring compensation and AI spending; no tax, investment income or cash add-on. Amounts below are USD billions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	112.750	53.556	17.073%	19.250	30.427%	34.306	September guidance and supply constraints	LOW model
Q4 2026	Model	155.000	72.055	13.548%	21.000	32.939%	51.055	October foldable launch and holiday mix	LOW model
Q1 2027	Model	122.000	58.813	17.705%	21.600	30.503%	37.213	Post-holiday demand and memory cost	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q2 2027	Model	121.500	58.781	17.942%	21.800	30.437%	36.981	Mac and iPhone installed-base conversion	LOW model
Q3 2027	Model	125.500	61.066	17.530%	22.000	31.128%	39.066	First mature foldable comparison	LOW model
Q4 2027	Model	167.000	78.642	13.952%	23.300	33.139%	55.342	Holiday product mix	LOW model
Q1 2028	Model	132.000	64.849	17.879%	23.600	31.249%	41.249	AI adoption and device replacement	LOW model
Q2 2028	Model	132.000	65.173	18.030%	23.800	31.343%	41.373	Services attachment	LOW model
Q3 2028	Model	137.000	67.901	17.518%	24.000	32.044%	43.901	Expanded product availability	LOW model
Q4 2028	Model	180.000	86.024	14.111%	25.400	33.680%	60.624	Holiday seasonal peak	LOW model
Q1 2029	Model	143.000	71.717	17.972%	25.700	32.180%	46.017	Installed-base expansion	LOW model
Q2 2029	Model	143.000	72.023	18.182%	26.000	32.184%	46.023	Cloud monetization versus compute cost	LOW model
Q3 2029	Model	148.000	74.813	17.770%	26.300	32.779%	48.513	Hardware replacement cycle	LOW model
Q4 2029	Model	193.000	94.174	14.352%	27.700	34.443%	66.474	Holiday mix	LOW model
Q1 2030	Model	154.000	78.145	18.182%	28.000	32.561%	50.145	Mature foldable penetration	LOW model
Q2 2030	Model	154.000	78.438	18.377%	28.300	32.557%	50.138	Services usage growth	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2030	Model	160.000	81.675	17.875%	28.600	33.172%	53.075	Replacement and product mix	LOW model
Q4 2030	Model	207.000	102.420	14.493%	30.000	34.986%	72.420	2030 endpoint	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

Retain20× forward four-quarter operating profit. This is the existing framework OP convention, not a20× EPS valuation. Strong recurring services support durability, while mature demand and cost sensitivity constrain re-rating.

Start14,680M future diluted-share proxy versus14,714.676M June weighted-average diluted shares; assume net reduction80M per quarter after compensation. July call reports25.8B repurchases and33B total capital return: the entire33B is not a buyback. The projected share reduction is an assumption and is not inferred from dividend-inclusive returns.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling USD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	159.555515	20×	14,680.000000	217.378085	September guidance and supply constraints
Q4 2026	Q4 2026 → Q3 2027	164.315441	20×	14,600.000000	225.089645	October foldable launch and holiday mix
Q1 2027	Q1 2027 → Q4 2027	168.602794	20×	14,520.000000	232.235254	Post-holiday demand and memory cost
Q2 2027	Q2 2027 → Q1 2028	172.638088	20×	14,440.000000	239.110926	Mac and iPhone installed-base conversion
Q3 2027	Q3 2027 → Q2 2028	177.030000	20×	14,360.000000	246.559889	First mature foldable comparison
Q4 2027	Q4 2027 → Q3 2028	181.864412	20×	14,280.000000	254.712061	Holiday product mix
Q1 2028	Q1 2028 → Q4 2028	187.145588	20×	14,200.000000	263.585336	AI adoption and device replacement
Q2 2028	Q2 2028 → Q1 2029	191.913824	20×	14,120.000000	271.832611	Services attachment
Q3 2028	Q3 2028 → Q2 2029	196.564118	20×	14,040.000000	280.005866	Expanded product availability
Q4 2028	Q4 2028 → Q3 2029	201.176471	20×	13,960.000000	288.218439	Holiday seasonal peak
Q1 2029	Q1 2029 → Q4 2029	207.027353	20×	13,880.000000	298.310307	Installed-base expansion
Q2 2029	Q2 2029 → Q1 2030	211.155294	20×	13,800.000000	306.022165	Cloud monetization versus compute cost
Q3 2029	Q3 2029 → Q2 2030	215.270294	20×	13,720.000000	313.805093	Hardware replacement cycle
Q4 2029	Q4 2029 → Q3 2030	219.832353	20×	13,640.000000	322.334828	Holiday mix
Q1 2030	Q1 2030 → Q4 2030	225.777941	20×	13,560.000000	333.005813	Mature foldable penetration

- **Q3 2026:** (34.306250 + 51.055000 + 37.213235 + 36.981029) × 20 × 1000 ÷ 14,680.000000 = **217.378085 USD/share**. Window: Q3 2026-Q2 2027.
- **Q4 2026:** (51.055000 + 37.213235 + 36.981029 + 39.066176) × 20 × 1000 ÷ 14,600.000000 = **225.089645 USD/share**. Window: Q4 2026-Q3 2027.
- **Q1 2027:** (37.213235 + 36.981029 + 39.066176 + 55.342353) × 20 × 1000 ÷ 14,520.000000 = **232.235254 USD/share**. Window: Q1 2027-Q4 2027.
- **Q2 2027:** (36.981029 + 39.066176 + 55.342353 + 41.248529) × 20 × 1000 ÷ 14,440.000000 = **239.110926 USD/share**. Window: Q2 2027-Q1 2028.
- **Q3 2027:** (39.066176 + 55.342353 + 41.248529 + 41.372941) × 20 × 1000 ÷ 14,360.000000 = **246.559889 USD/share**. Window: Q3 2027-Q2 2028.

- **Q4 2027:** (55.342353 + 41.248529 + 41.372941 + 43.900588) × 20 × 1000 ÷ 14,280.000000 = **254.712061 USD/share**. Window: Q4 2027-Q3 2028.
- **Q1 2028:** (41.248529 + 41.372941 + 43.900588 + 60.623529) × 20 × 1000 ÷ 14,200.000000 = **263.585336 USD/share**. Window: Q1 2028-Q4 2028.
- **Q2 2028:** (41.372941 + 43.900588 + 60.623529 + 46.016765) × 20 × 1000 ÷ 14,120.000000 = **271.832611 USD/share**. Window: Q2 2028-Q1 2029.
- **Q3 2028:** (43.900588 + 60.623529 + 46.016765 + 46.023235) × 20 × 1000 ÷ 14,040.000000 = **280.005866 USD/share**. Window: Q3 2028-Q2 2029.
- **Q4 2028:** (60.623529 + 46.016765 + 46.023235 + 48.512941) × 20 × 1000 ÷ 13,960.000000 = **288.218439 USD/share**. Window: Q4 2028-Q3 2029.
- **Q1 2029:** (46.016765 + 46.023235 + 48.512941 + 66.474412) × 20 × 1000 ÷ 13,880.000000 = **298.310307 USD/share**. Window: Q1 2029-Q4 2029.
- **Q2 2029:** (46.023235 + 48.512941 + 66.474412 + 50.144706) × 20 × 1000 ÷ 13,800.000000 = **306.022165 USD/share**. Window: Q2 2029-Q1 2030.
- **Q3 2029:** (48.512941 + 66.474412 + 50.144706 + 50.138235) × 20 × 1000 ÷ 13,720.000000 = **313.805093 USD/share**. Window: Q3 2029-Q2 2030.
- **Q4 2029:** (66.474412 + 50.144706 + 50.138235 + 53.075000) × 20 × 1000 ÷ 13,640.000000 = **322.334828 USD/share**. Window: Q4 2029-Q3 2030.
- **Q1 2030:** (50.144706 + 50.138235 + 53.075000 + 72.420000) × 20 × 1000 ÷ 13,560.000000 = **333.005813 USD/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	536.000	257.303	88.700	168.603	31.456%
2028	581.000	283.946	96.800	187.146	32.211%
2029	627.000	312.727	105.700	207.027	33.019%
2030	675.000	340.678	114.900	225.778	33.449%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

CY2027 Products391B+Services145B=536B. CY2030 Products471B+Services204B=675B. Duo and AI are embedded in these totals; no second TAM overlay is added. The active Q4 2027-Q3 2028 window spans exactly one December holiday quarter.

11. Historical Q3 2027 dilution sensitivity - same operating case

The retained table below uses the previous Q3 horizon. The active Q4 2027 target is USD 254.712061 using 14,280M shares, as derived in section 9; the historical sensitivity is not the active selection.

Denominator sensitivity	Q3 2027 shares M	Q3 2027 ceiling USD	Effect on ceiling
-5% shares	13,642.000000	259.536725	+5.26%

Denominator sensitivity	Q3 2027 shares M	Q3 2027 ceiling USD	Effect on ceiling
+0% shares	14,360.000000	246.559889	+0.00%
+5% shares	15,078.000000	234.818942	-4.76%
+10% shares	15,796.000000	224.145353	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Duo launch	E4;90% commercial-launch confidence, not90% revenue guarantee	Analyst10M CY2027 shipments	Net10.8B after cannibalization embedded in Products	October delivery followed by channel and mix evidence
AI paid upgrades	E2/E3;50% meaningful incremental monetization hypothesis	No separately defensible price×subscriber base	Included in Services trajectory with margin costs	Raise only with disclosed adoption and economics
Unannounced devices	No specific product, unit base or timing assessed	Unquantified	No separate revenue bridge; no general claim that unofficial evidence has zero value	Identify a product, distribution path and bounded unit economics
Apple/Qualcomm licence renewal	Announced September 24; old no-renewal outcome superseded	Terms and royalty rate not disclosed	No royalty removal; product integration remains within Products margins	Effective April 1, 2027; assess any subsequently disclosed economic terms

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Component supply and cost	-1	Advanced nodes and memory can cap units and margins.
Demand and cannibalization	-1	Duo can replace premium iPhone or iPad purchases.
AI execution and cost	-1	Higher usage may consume more compute than paid upgrades finance.
Regulation and distribution economics	-1	App Store and licensing changes can reduce high-margin income.
Geography and capital allocation	-1	FX, trade disruptions and slower net repurchases dilute per-share gains.

14. Dated catalysts, counters and escalation

1. **September/October2026 - Launch execution** Track shipped availability, returns and product mix, not launch publicity alone.
2. **Next earnings call - Guidance test** Reconcile September constraints, Services growth and December margins.
3. **2027 - Cost and adoption test** Reduce capture if paid AI growth fails to cover compute or foldable cannibalization is higher.

15. Cross-book monitoring

Compare Apple memory procurement with MU and SK hynix demand without treating the same cost increase as equal profit for every supplier. Watch foundry availability, handset RF content, displays and assembly. Supplier qualification and value per shipped unit determine their benefit; Apple revenue is not allocated to other holdings automatically.

16. Source register and model limits

E1 - Apple June-quarter Form10-Q (2026-07-31). Reported revenue, costs, product mix and dilution.

E2 - Apple fiscal Q2 management call and Q&A (2026-04-30). Management transcript: supply, capital return and AI investment.

E3 - Apple fiscal Q3 management call and Q&A (2026-07-30). September revenue growth9-11%, GM47-48% including about1point refunds, opex19.1-19.4B.

E4 - Apple announces iPhone Duo (2026-09-09). Foldable begins availability October23; announcement supplies no shipment forecast.

E5 - Apple announces iPhone18Pro family (2026-09-09). September18 availability; product mix changes begin late in calendar Q3.

E7 - Qualcomm announces Apple global patent-licence renewal (2026-09-24). Effective April 1, 2027; rate and duration undisclosed. Separate from modem-chip supply.

E8 - Irrational Analysis: Preview of a new war between Apple and Qualcomm (2026-07-29). Dated secondary analysis, including a September 2025 embedded article. All 56 body images were inspected. Figure AAPL-IA14-46 is a historical author claim, not current issuer guidance; the article also contains an author-altered

Qualcomm roadmap.

E6 - Prior September-quarter results (2025-10-30). Rounded revenue102.5B provides the guidance comparison base.

Long-range units, margins, installed-base growth and paid AI adoption are analyst assumptions. Two reporting divisions do not disclose product-level or AI profitability. No autonomous-device or robotics revenue is inserted without a disclosed product and defensible unit base.

Workbook: v3_2_master_portfolio.xlsx, current model tab AAPL_Q_Model. The September financial calibration is retained. All financial table values, operating assumptions and Base scores are unchanged by this evidence review; only the active quarter selection is refreshed explicitly above. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\Artifact Rescore Sept 6 2026\AAPL_Apple_DeepDive_FY2026_Q3.md. **Original snapshot:** versions/originals/AAPL_Apple_DeepDive_FY2026_Q3.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.